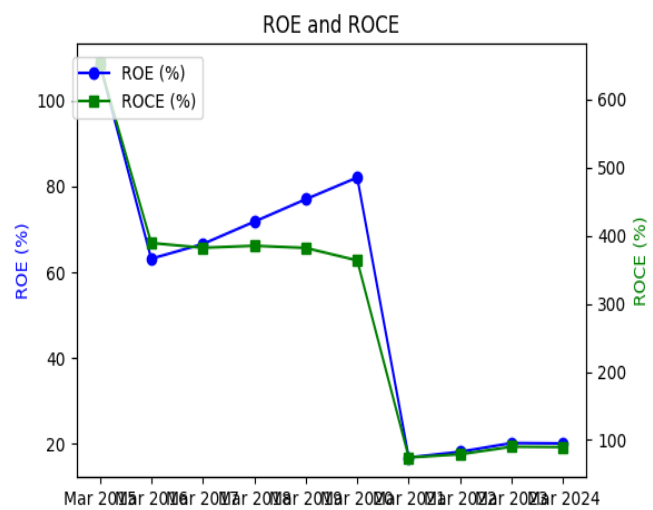
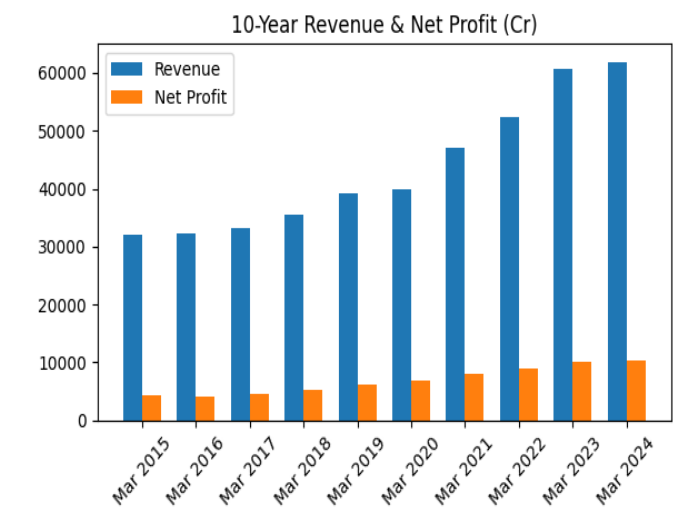
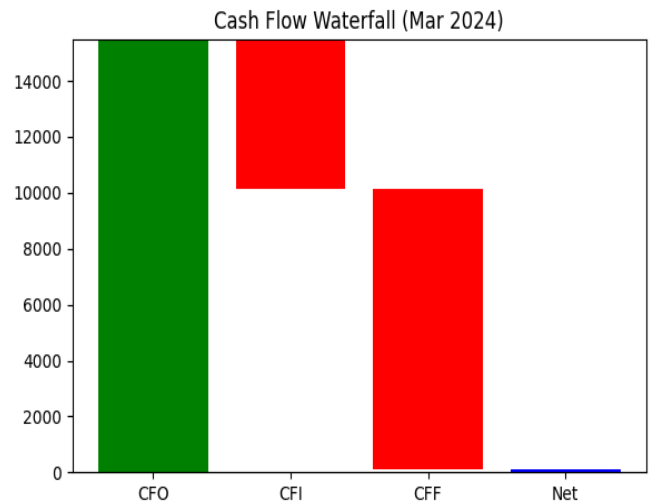
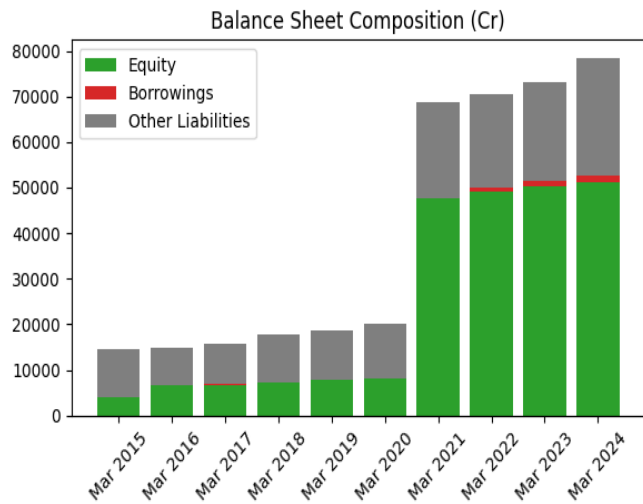


Hindustan Unilever Ltd (HINDUNILVR)

Revenue ■62,661 Cr	Net Profit ■10,757 Cr	ROE 20.1%
ROCE 89.6%	CFO Quality High Quality	Allocation Shareholder Returns





Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow
- Debt-free balance sheet provides financial flexibility and eliminates interest burden
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

Capital Allocation Pattern: Shareholder Returns